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SUMMARY

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Yong W. Kwon
Analyst in Industrial Organization and Business Policy

Nippon Steel's Acquisition of U.S. Steel: Potential Implications for the Industry

United States Steel Corporation (USS) is an iron and steel manufacturer that employs about 14,000 workers in the United States. It is one of two companies operating domestic facilities that produce both iron and steel on-site (integrated iron and steel mill). These domestic facilities can produce both new and high-quality grades of steel, which certain manufacturers (e.g., automotive companies) use in their products. Japanese firm Nippon Steel Corporation (Nippon Steel) finalized its acquisition of USS in June 2025, following approval of the transaction by President Trump. USS's management under this new ownership may carry implications for domestic employment and the rate of innovation adoption in the industry.

In recent years, USS has taken some actions that coincided with falling steel prices. For example, the company reduced output and shuttered some of its legacy facilities, which has led to layoffs of workers in Michigan and Illinois. In addition, the company made investments in new facilities (away from legacy iron and steelmaking facilities located in the Great Lakes region) that produce raw steel using scrap steel—a process that is less labor-intensive than making new steel from iron.

After USS publicly announced its acquisition by Nippon Steel in December 2023, the parties sought two regulatory approvals from the U.S. government. First, the Committee on Foreign Investment in the United States (CFIUS) began a review of the implications of Nippon Steel's ownership of USS for U.S. national security. Second, the Department of Justice conducted a separate U.S. government inquiry on antitrust concerns. Workers employed by USS, a rival steelmaker of USS, some steel buyers, and some Members of Congress, responded to USS's announcement by publicly raising concerns on how a successful acquisition or an alternative outcome may affect employment and the performance of steel and steel-using industries.

In response to some of these stakeholder concerns, Nippon Steel made commitments to maintain existing USS facilities and add iron and steelmaking capacity in the United States. This plan may affect steel prices and operations at legacy integrated iron and steel mills if domestic steel demand does not keep up with the anticipated supply increase. Public policies that look to increase the demand for iron and steel in the domestic market carry potential costs and limitations. For example, laws requiring some public works projects to use domestically manufactured steel may more directly benefit scrap-based steelmakers that produce a dominant share of steel used in construction over operators of integrated iron and steel mills.

Nippon Steel's plans to maintain or restart assets at existing USS integrated iron and steel mills may affect the company's ability to adopt innovations at these legacy facilities. Public investments supporting research and development or deployment of infrastructure for innovative iron and steelmaking processes may influence considerations. Existing production tax credits for metallurgical coal subsidize some legacy assets and technologies at integrated iron and steel mills.

As a prerequisite to the acquisition, Nippon Steel and USS entered into a national security agreement with the U.S. government. The agreement terms include a "golden share" arrangement under which the U.S. government is to have certain rights with respect to USS, including those "relating to governance, domestic production and trade matters." According to a news release from Nippon Steel, the agreement permits the President of the United States or a presidential designee to intervene in the management of USS under certain circumstances. Nippon Steel's public statement on this agreement stated that the President of the United States has consent rights with respect to certain major decisions such as the transfer of jobs or production capacity outside of the United States or the closure of certain existing USS facilities. Congress may have the ability to engage in oversight of the executive branch's enforcement of the national security agreement. The national security agreement is not available to the public.

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Introduction

On June 13, 2025, President Donald Trump approved the acquisition of United States Steel Corporation (USS) by Tokyo-headquartered Nippon Steel Corporation (Nippon Steel) under the terms of a confidential national security agreement.[1] The agreement terms include a "golden share" arrangement under which the U.S. government is to have certain rights with respect to USS, including those "relating to governance, domestic production and trade matters."[2] According to a news release from Nippon Steel, the national security agreement permits the President of the United States to intervene in the management of USS under some circumstances.[3] For example, Nippon Steel states that the closure of certain domestic facilities operated by USS requires U.S. government consent.[4]

President Trump's decision to approve the acquisition came after President Biden issued an order prohibiting the acquisition following a review and referral to the President from the interagency Committee on Foreign Investment in the United States (CFIUS).[5] President Trump had ordered a new CFIUS review prior to his decision to approve the transaction. Section 721 of the Defense Production Act authorizes both the CFIUS review and the negotiation and imposition of terms to mitigate any national security risks identified by the committee, such as through a national security agreement.[6]

Some stakeholders, such as labor unions and steel-purchasing firms, publicly discussed the implications of the acquisition after the deal was announced in December 2023.[7] Questions from labor unions centered on USS's current role as the direct employer of over 14,000 workers in the United States. Some steel-purchasing firms focused on USS being one of two companies with domestic facilities that produce both iron and steel on-site.[8] This capability allows the company's mills to produce high-quality grades of steel, which are important inputs for certain industry actors, such as automotive manufacturers.

Given the use of steel in various components across many U.S. industries and the company's role as a major employer in certain communities, the management of USS under Nippon Steel is of

[1] Executive Order of June 13, 2025, "Regarding the Proposed Acquisition of the United States Steel Corporation by Nippon Steel Corporation," 90 *Federal Register* 26185, June 20, 2025, https://www.federalregister.gov/documents/2025/06/20/2025-11372/regarding-the-proposed-acquisition-of-united-states-steel-corporation-by-nippon-steel-corporation.

[2] U.S. Securities and Exchange Commission (SEC), *United States Steel Corporation Form 8-K*, June 18, 2025, https://www.sec.gov/Archives/edgar/data/1163302/000110465925060674/tm2517314d1_8k.htm.

[3] Nippon Steel Corporation (Nippon Steel), "Nippon Steel Corporation and U.S. Steel Finalize Historic Partnership," news release, June 18, 2025, https://www.nipponsteel.com/en/news/20250618_100.html.

[4] Nippon Steel, "Nippon Steel Corporation and U.S. Steel Finalize Historic Partnership."

[5] Executive Order of January 3, 2025, "Regarding the Proposed Acquisition of United States Steel Corporation by Nippon Steel Corporation," 90 *Federal Register* 2065, January 13, 2025, https://www.federalregister.gov/documents/2025/01/13/2025-00621/regarding-the-proposed-acquisition-of-united-states-steel-corporation-by-nippon-steel-corporation.

[6] 50 U.S.C. §4565(b) and §4565(l)(3). For additional discussion on the CFIUS review process, see CRS In Focus IF10177, *Committee on Foreign Investment in the United States (CFIUS)*, by Cathleen D. Cimino-Isaacs and Karen M. Sutter.

[7] United Steelworkers (USW), "Planned U.S. Steel Sale Meets Anger, Skepticism: USW Vows to Fight to Make Sure Company Lives Up to Obligations," February 13, 2024, https://usw.org/news/planned-u-s-steel-sale-meets-anger-skepticism-usw-vows-to-fight-to-make-sure-company-lives-up-to-obligations/.

[8] Caitlin Oprysko, "Automakers Try to Ward Off an Alternative Steel Merger," *Politico*, March 29, 2024, https://www.politico.com/newsletters/politico-influence/2024/03/29/automakers-try-to-ward-off-an-alternative-steel-merger-00149821.

interest to some Members of Congress.[9] USS's management under Nippon Steel carries potential implications for local employment where USS operates facilities, such as Allegheny County, PA; Gary, IN; and Osceola, AR. Some Members have supported measures to expand domestic manufacturing employment and to host a greater share of the manufacturing supply chain in the United States.[10]

Some Members of Congress emphasized the value of $14.9 billion in investment from Japan to the United States and criticized efforts to block Nippon Steel's acquisition of USS.[11] Similarly, some policy observers raised concerns about rejecting foreign direct investment from a country that had a history of building manufacturing facilities and creating jobs in the United States.[12] Building on these discussions, the performance of USS under Nippon Steel and the U.S. government's exercise of its golden share may be of interest to some Members, as it may emerge in future private sector assessments on the U.S. investment climate.

More broadly, Congress may develop legislation to affect the steel industry and industries in the supply chain, or it may choose to oversee the executive branch's use of existing authorities to affect relevant industries.

This report presents a brief profile of USS, selected issues that stakeholders raised during Nippon Steel's bid to acquire the company, and policy considerations that may affect the long-term performance of USS and the domestic iron and steel industry as a whole.

Overview of United States Steel Corporation

USS is a producer of *primary* steel and one of two companies with facilities in the United States that can produce both iron and steel on-site.[13] As of November 2025, the two integrated iron and steel mills operated by USS in Gary, IN, and Allegheny County, PA, represented around 28.5% of the domestic ironmaking capacity.[14] USS is also a producer of *secondary* steel, with the company

[9] Rep. Chris Deluzio, "Deluzio, Lee, Casey, Fetterman Demand Answers from Nippon Steel on Commitments to Pennsylvania," press release, December 19, 2023, https://deluzio.house.gov/media/press-releases/deluzio-lee-casey-fetterman-demand-answers-nippon-steel-commitments; and Rep. Nikki Budzinski, "Budzinski Calls For Comprehensive Review of U.S. Steel Acquisition," press release, January 3, 2024, https://budzinski.house.gov/posts/budzinski-calls-for-comprehensive-review-of-u-s-steel-acquisition.

[10] For examples of issues of congressional interest, see CRS Insight IN12592, *Shipbuilding to Improve Domestic Supply Chains: Opportunities and Challenges*, by John Frittelli; and CRS In Focus IF13001, *Domestic Preference Statutes: The Berry Amendment and the Kissell Amendment*, by Michael Alan Havlin and Alexandra G. Neenan.

[11] Office of Rep. Dan Meuser, "Congressman Meuser Reacts to Biden's Blocking of U.S. Steel-Nippon Steel Deal," press release, January 3, 2025, https://meuser.house.gov/media/press-releases/congressman-meuser-reacts-bidens-blocking-us-steel-nippon-steel-deal.

[12] Joel Griffith, "Nippon Acquisition of U.S. Steel," The Heritage Foundation, April 22, 2024, https://www.heritage.org/markets-and-finance/commentary/nippon-acquisition-us-steel.

[13] World Steel Association, *2024 World Steel in Figures*, May 27, 2024, https://worldsteel.org/wp-content/uploads/World-Steel-in-Figures-2024.pdf. Of the five companies with domestic capacity to produce iron, two companies operate integrated iron and steel mills as of January 2026: Cleveland-Cliffs and U.S. Steel. Three companies, Arcelor Mittal, Steel Dynamics, and Nucor, operate direct reduced iron furnaces that can produce iron; their ironmaking capacities are lower than those of Cleveland-Cliffs and USS.

[14] Tabulation by CRS using Global Energy Monitor, "Global Iron and Steel Tracker," accessed September 10, 2025, https://globalenergymonitor.org/projects/global-iron-and-steel-tracker/tracker-map/. On December 4, 2025, U.S. Steel (USS) announced plans to restart ironmaking at the previously idled blast furnace in Granite City, IL. This capacity is not added to the calculation. Hunter Bassler and Laura Barczewski, "Granite City Works Restarts Blast Furnace After 2 Years of Idling, US Steel Says," *WQAD News 8 Quad Cities*, December 4, 2025, https://www.wqad.com/article/money/business/granite-city-restart-blast-furnace-us-steel/63-8aa1edfb-1a13-493c-9266-fa0a0c2d4a2d.

investing in growing production capacity at its mini mill in Osceola, AR (see the text box for more information about primary and secondary steelmaking).

Types of Steelmaking

Steelmaking can be divided into two broad categories: primary and secondary. Primary steelmaking produces raw steel from new iron. Iron is produced from iron pellets either at a blast furnace (which uses metallurgical coke) or at a direct reduced iron furnace (which uses methane gas or hydrogen). Industrial complexes that produce both iron and steel are known as *integrated* iron and steel mills. Secondary steelmaking uses electric arc furnaces to predominantly recycle scrap steel into raw steel. Facilities equipped only with an electric arc furnace are referred to as *mini mills*.

Domestically, primary steelmaking mainly serves users that require high-quality grades of steel or steel with complex chemistries, such as automotive manufacturers and aerospace manufacturers.[15] Secondary steelmaking serves the construction sector and is used in a growing share of other applications as the quality of steel products from electric arc furnaces improves. For instance, mini mill operator Nucor has introduced high-strength steel plate for offshore wind energy facilities; in the past, integrated iron and steel mills have supplied offshore wind energy installations.[16]

The number of domestic primary steel producers and integrated iron and steel mills has decreased over the past decades. In 1991, the share of raw steel made using electric arc furnaces was 38.4%; in 2023, it was 72% of total domestic production.[17]

Since the 1970s, domestic demand for primary steel has fluctuated, international steel output has grown, and domestic mini mill capacity has expanded. USS's shipments to customers declined by nearly 30% between 1977 and 2019, falling from 17.9 million metric tons to approximately 13.6 million metric tons.[18] More recently, the company's nominal net earnings and losses have fluctuated from a loss of $630 million in 2019 to a profit of $4.174 billion in 2021 (coinciding with a spike in prices created by a steel shortage in the immediate aftermath of the COVID-19 pandemic) to a profit of $384 million in 2024.[19] This fluctuation in earnings coincided with USS's decisions to reduce its workforce in the United States by around 16% between 2019 and 2024, from about 17,000 employees to 14,341 employees.[20]

In response to these challenges, USS's management reported to shareholders in 2023 that the company would diversify its product offerings.[21] As a component of the diversification, the

[15] Xiaohua Hu and Zhili Feng, *Advanced High-Strength Steel—Basics and Applications in the Automotive Industry*, Oak Ridge National Laboratory, April 2021, https://info.ornl.gov/sites/publications/Files/Pub158668.pdf (hereinafter Hu and Feng, *Advanced High-Strength Steel*).

[16] Fastmarkets, "Nucor Targets US East Coast Offshore Wind Energy Build-Out," January 24, 2023, https://www.fastmarkets.com/insights/nucor-targets-us-east-coast-offshore-wind-energy-build-out/.

[17] U.S. Bureau of Mines, *Mineral Commodity Summaries 1996*, January 1996, https://d9-wret.s3.us-west-2.amazonaws.com/assets/palladium/production/atoms/files/mcs-1996ocr.pdf; and U.S. Department of the Interior (DOI), *Mineral Commodity Summaries 2025*, March 2025, https://pubs.usgs.gov/periodicals/mcs2025/mcs2025.pdf.

[18] USS, *Seventy-Sixth Annual Report*, 1977 (retrieved from ProQuest Annual Reports), https://www.proquest.com/reports/united-states-steel-corporation-annual-report/docview/88204441/se-2; and U.S. Securities and Exchange Commission (SEC), *United States Steel Corporation Form 10-K for the fiscal year ended December 31, 2019*, https://www.sec.gov/Archives/edgar/data/1163302/000116330220000012/form10k191231.htm.

[19] SEC, *United States Steel Corporation Form 10-K for the fiscal year ended December 31, 2024*, https://www.sec.gov/ix?doc=/Archives/edgar/data/0001163302/000116330225000018/x-20241231.htm; SEC, *United States Steel Corporation Form 10-K for the fiscal year ended December 31, 2021*, https://www.sec.gov/ix?doc=/Archives/edgar/data/0001163302/000116330222000021/x-20211231.htm; and Joshua Grimes, "The Impact of COVID on the Price of Steel in Three Phases," *Beyond the Numbers: Prices & Spending*, U.S. Bureau of Labor Statistics (BLS), vol. 14, no. 4 (May 2025), https://www.bls.gov/opub/btn/volume-14/the-impact-of-covid-on-the-price-of-steel-in-three-phases.htm.

[20] SEC, *United States Steel Corporation Form 10-K for the fiscal year ended December 31, 2024*.

[21] Seeking Alpha, "United States Steel Corp (X) Q3 2023 Earnings Call Transcript," October 27, 2023, https://seekingalpha.com/article/4644442-united-states-steel-corp-x-q3-2023-earnings-call-transcript.

company increased investments in its mini mill operations. For example, USS installed an electric arc furnace at its steel mill in Alabama in 2020 and completed the acquisition of a mini mill in Arkansas in 2021. In 2024, 72% of the company's capital spending went to its mini mills.[22]

As USS increased investments in its mini mills, the company reduced production and investments at its integrated iron and steel mills. For example, the company stopped ironmaking operations at its integrated iron and steel mills in Michigan in 2021 and in Illinois in 2023, laying off about 4,000 workers. In addition, in 2021, USS cancelled plans to add capacity at its flagship integrated iron and steel mill in Allegheny County, PA.[23] This facility has also experienced several accidents in recent years. Investigations following a fire in December 2018 revealed evidence of structural degradation of the on-site metallurgical coke batteries, which produce a key input for the ironmaking process.[24] The Allegheny County Health Department recorded 167 cases of uncontrolled releases of air pollution from these coke batteries in 2024.[25]

Issues Raised by Stakeholders During the Acquisition

After Nippon Steel announced its plan to acquire USS in December 2023, supporters and critics raised potential benefits and harms to domestic employment, steel prices, and national security. Issues raised during the acquisition process may be of interest to Congress in considering whether to extend federal resources to USS, the steel industry as a whole, or both.

Domestic Employment

Leadership at USS and Nippon Steel stated that Nippon Steel's prospective capital investments in USS facilities would support continued employment of workers, particularly those at integrated iron and steel mills.[26] The national leadership of United Steelworkers (USW), the trade union representing around 75% of the USS workers in North America, expressed concern that Nippon Steel would shift investment from integrated iron and steel mills to the mini mill operation in Arkansas.[27] USW membership among employees at the USS mini mill in Arkansas reportedly is lower than that at the company's integrated mills in Pennsylvania and Indiana.[28]

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[22] SEC, *United States Steel Corporation Form 10-K for the fiscal year ended December 31, 2024*.

[23] Association for Iron & Steel Technology (AIST), "U.S. Steel Cancels Mon Valley Works Investment," April 30, 2021, https://www.aist.org/u-s-steel-cancels-mon-valley-works-investment.

[24] Thomas D. Traubert, *US Steel No. 2—Control Room Deluge Piping Evaluation: Supplemental Report*, Engineering Design & Testing Corp., December 2, 2019, https://www.documentcloud.org/documents/21113692-edt-supp-report-ussp007787/.

[25] Allegheny County Health Department Air Quality Program, *Enforcement Order: United States Steel Corporation Clairton Plant*, June 5, 2025, https://www.alleghenycounty.us/files/assets/county/v/1/government/health/documents/air-quality/enforcement/actions/2025-actions/us-steel-2024-pec-signed.pdf.

[26] Paul Van Osdol, "US Steel CEO Defends Sale to Nippon in Exclusive Interview with WTAE," *WTAE*, November 22, 2024, https://www.wtae.com/article/us-steel-ceo-exclusive-interview/62990528.

[27] USW, "Nippon Is Not the Future of U.S. Steel," March 21, 2025, https://usw.org/bargaining-update/nippon-is-not-the-future-of-u-s-steel/; USW, "Too Much at Stake in USS-Nippon Deal for USW to Stay on the Sidelines," December 20, 2024, https://m.usw.org/bargaining-update/too-much-at-stake-in-uss-nippon-deal-for-usw-to-stay-on-the-sidelines/; and USW, "U.S. Steel 'Partnership' Announcements: More Questions than Answers," May 28, 2025, https://usw.org/bargaining-update/u-s-steel-partnership-announcements-more-questions-than-answers/.

[28] Paul J. Gough, "Here's What We Know About the New US Steel-United Steelworkers Tentative Agreement," *WPXI*, November 9, 2022, https://www.wpxi.com/news/local/heres-what-we-know-about-new-us-steel-united-steelworkers-tentative-agreement/AXFQW4KXG5BQPDEW6BMNHTBONU/.

Acknowledging tensions, Nippon Steel pledged to retain operations and employment at legacy integrated iron and steel mills owned by USS. In August 2024, Nippon Steel said it would spend at least $1 billion on upgrading the USS-owned integrated iron and steel mill in Pennsylvania.[29] The company also stated it would invest approximately $300 million to extend operations of the blast furnaces at the integrated mill in Gary, IN. In June 2025, USS submitted to the U.S. Securities and Exchange Commission an amendment to its certificate of incorporation that outlined a capital investment plan totaling $10.8 billion between 2025 and 2028.[30]

Some local USW leaders and members differed with the national USW leadership's opposition to the acquisition of USS by Nippon Steel. Local USW leadership, and many local members at the USS integrated iron and steel mills in Pennsylvania and Indiana, reportedly supported Nippon Steel's acquisition and the investments promised by Nippon Steel.[31] According to USW local leadership, 95% of the local USW members supported the acquisition.[32]

Domestic Steel Prices

Cleveland-Cliffs, a rival steelmaker of USS, opposed Nippon Steel's acquisition of the company and presented a competing bid to acquire USS to form a "stronger domestic supplier" in the U.S. steel market.[33] Cleveland-Cliffs previously had acquired other North American integrated iron and steel mills. These acquisitions include U.S.-based mills owned by AK Steel in 2019, U.S.-based mills owned by ArcelorMittal in 2020, and the Canadian steelmaker Stelco in 2024. The company's consolidation of North American primary steelmakers might have facilitated its ongoing efforts to secure fixed-price contracts with customers and to create more certainty amid fluctuating steel prices.[34] Cleveland Cliffs' acquisition of USS would have made the company the sole operator of all domestic integrated iron and steel mills.

The Alliance for Automotive Innovation (Auto Innovators), an automotive industry trade association, publicized its members' concern that Cleveland-Cliffs' acquisition of USS would lead to higher steel prices. In an October 2023 letter to Congress, Auto Innovators' President John Bozzella asserted that the merger of Cleveland-Cliffs and USS would form a company that would control more than 90% of high-quality steel used by the domestic automotive industry.[35] In this letter, he stated that a consolidation of the market would "increase costs across the industry for both materials and finished vehicles." In March 2024, Bozzella wrote a letter to the Biden Administration that reiterated the industry's assessment that Cleveland-Cliffs' acquisition of USS

[29] Nippon Steel, "Nippon Steel Announces Transformative Investments at U.S. Steel's Mon Valley Works and Gary Works," press release, August 29, 2024, https://www.nipponsteel.com/en/news/20240829_100.html.

[30] SEC, "Exhibit 3.1: Fifth Amended and Restated Certificate of Incorporation of United States Steel Corporation," https://www.sec.gov/Archives/edgar/data/1163302/000110465925060674/tm2518197d1_ex3-1.htm.

[31] Paul Van Osdol, "Local Steelworkers Voice Support for US Steel-Nippon Deal amid Trump's Opposition," *WTAE*, December 3, 2024, https://www.wtae.com/article/us-steel-nippon-trump-steelworkers/63085379.

[32] Van Osdol, "Local Steelworkers Voice Support for US Steel-Nippon Deal Amid Trump's Opposition."

[33] Cleveland-Cliffs, "Cleveland-Cliffs Proposes to Acquire U.S. Steel," news release, August 13, 2023, https://www.clevelandcliffs.com/news/news-releases/detail/600/cleveland-cliffs-proposes-to-acquire-u-s-steel.

[34] Cleveland-Cliffs, "Cleveland-Cliffs Achieves Price Increases on Fixed-Price Contracts for 2023," December 22, 2022, https://www.clevelandcliffs.com/investors/news-events/press-releases/detail/566/cleveland-cliffs-achieves-price-increases-on-fixed-price.

[35] Letter from John Bozzella, president and CEO, Alliance for Automotive Innovation (Auto Innovators), to Senate Subcommittee on Competition Policy, Antitrust, and Consumer Rights and the House Subcommittee on the Administrative State, Regulatory Reform, and Antitrust, October 31, 2023, https://www.autosinnovate.org/posts/letters/Auto%20Innovators%20Letter%20to%20Congress%20on%20Cleveland-Cliffs%20U.S.%20Steel%20October%202023.pdf.

could lead to "anti-competitive pricing of materials used by steel-reliant manufacturers like the auto industry."[36]

National Security and Antitrust Concerns

The Biden and Trump Administrations considered the national security, foreign policy, and antitrust implications of the Nippon Steel acquisition.[37] Other than the presidential decisions related to the transaction, the details of the CFIUS reviews under the Biden and Trump Administrations are not public.[38] While the national security reviews by the Administrations were taking place, foreign policy observers cited the status of the Nippon Steel-USS deal as a topic of importance in U.S.-Japan relations, and several analysts argued that a rejection of the deal by the U.S. government could have negative impacts on bilateral relations and potentially undermine U.S. openness to foreign investment.[39] During the Biden Administration, the Department of Justice also pursued an antitrust investigation into Nippon Steel's partial ownership of a facility in Calvert, AL, that competed directly with USS.[40] Nippon Steel later sold its stake in the Calvert facility.[41]

Potential Issues for Congress

Nippon Steel's publicly announced plans for USS may increase the supply of domestically produced steel, potentially affecting prices if other market factors do not change. In addition, the company will determine the pace of legacy USS iron and steel mills adopting new technologies.

Congress has passed laws affecting demand for domestically produced steel and innovation adoption in the iron and steel industry. These include laws requiring public procurement of domestically made steel for some projects.[42] In addition, Section 232 of the Trade Expansion Act

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[36] Letter from John Bozzella, president and CEO, Auto Innovators, to Lael Brainard, director, National Economic Council, March 29, 2024, https://www.autosinnovate.org/association-update/Alliance%20for%20Automotive%20Innovation%20Letter%20to%20NEC%20on%20U.S.%20Steel%20-%20March%202024.pdf.

[37] CRS In Focus IF10177, *Committee on Foreign Investment in the United States (CFIUS)*, by Cathleen D. Cimino-Isaacs and Karen M. Sutter.

[38] The statute governing CFIUS provides that, unless an enumerated exception applies, information filed with the President or CFIUS as part of a national security review or investigation may not be made public (see 50 U.S.C. §4565(c)(1)). At the same time, various media outlets had reported on aspects of CFIUS deliberations concerning the Nippon Steel-USS transaction; for example, see Alexandra Alper, "Exclusive: US Fears Nippon Bid for U.S. Steel Could Hit Vital Steel Supplies," Reuters, September 6, 2024, https://www.reuters.com/markets/deals/us-worries-about-steel-supply-infrastructure-after-nippon-us-steel-deal-2024-09-05/.

[39] CRS In Focus IF10199, *U.S.-Japan Relations*, coordinated by Mark E. Manyin; Nikkei, "To Affirm U.S. Openness, Washington Should Approve U.S. Steel Sale," February 7, 2024, https://asia.nikkei.com/Opinion/To-affirm-U.S.-openness-Washington-should-approve-U.S.-Steel-sale; and Sarah Bauerle Danzman, "The US Steel Deal Is a Test of Friendshoring—and the US Is Failing," *New Atlanticist* (blog), Atlantic Council, January 8, 2024, https://www.atlanticcouncil.org/blogs/new-atlanticist/the-us-steel-deal-is-a-test-of-friendshoring-and-the-us-is-failing/.

[40] Josh Sisco, "DOJ Opens Formal Investigation of US Steel Takeover," *Politico*, April 10, 2024, https://www.politico.com/news/2024/04/10/doj-opens-formal-investigation-us-steel-takeover-00151615; and Reuters, "CORRECTED-DOJ Seeks More Details from US Steel, Nippon Steel on Proposed Merger," May 2, 2024, https://finance.yahoo.com/news/doj-seeks-more-details-u-212749545.html.

[41] ArcelorMittal, "ArcelorMittal Completes the Acquisition of Nippon Steel Corporation's Interest in AM/NS Calvert," press release, June 18, 2025, https://corporate.arcelormittal.com/media/press-releases/arcelormittal-completes-the-acquisition-of-nippon-steel-corporation-s-interest-in-am-ns-calvert.

[42] National Defense Authorization Act for Fiscal Year 2002 (P.L. 107-107); and National Defense Authorization Act for Fiscal Year 2020 (P.L. 116-92).

of 1962 as amended extended authority to the executive branch to impose restrictions on imports that are found to "threaten to impair" U.S. national security, which Administrations have invoked to apply tariffs on U.S. imports of steel.[43] Public funding has supported research in new iron and steelmaking technologies.[44] The 119th Congress extended production tax credits for the production of raw materials that blast furnaces consume, subsidizing companies such as USS that use this legacy technology.[45]

If Congress considers whether to take further action to affect employment, production, and competitiveness of legacy iron and steelmaking locations, it might consider sources of domestic steel demand and barriers to adopting innovations in the domestic steel industry, among other issues. Congress may also conduct oversight of how market conditions affect USS operations and the steel industry.

Domestic Steel Demand

Nippon Steel plans to add ironmaking capacity at the USS mini mill in Arkansas and establish a new mill that operates electric arc furnaces.[46] Nippon Steel and other domestic steelmakers' ability to maintain production capacity and employment might depend on the strength of demand for steel products. It is unclear whether demand for steel will keep pace with projected increases in domestic steelmaking capacity. For example, Hyundai Steel Company announced its intention to establish a new steel mill in Louisiana between 2026 and 2029, including plans to add on-site ironmaking capacity.[47] Such projects would increase the domestic supply of iron and steel and might place downward pressure on steel prices.[48] Legacy mills operated by USS and Cleveland-Cliffs in Indiana, Michigan, Ohio, and Pennsylvania may face more competition and less profitable market conditions if demand and capacity do not increase commensurately.

Public Procurement

Existing policies created to incentivize demand for the domestic steel industry include the Buy American Act of 1933, which requires federal agencies to purchase domestic end products and

[43] 19 U.S.C. §1862. CRS Insight IN12519, *Expanded Section 232 Tariffs on Steel and Aluminum*, by Kyla H. Kitamura and Keigh E. Hammond; and CRS In Focus IF13006, *Section 232 of the Trade Expansion Act of 1962*, by Kyla H. Kitamura.

[44] U.S. Department of Energy, Advanced Research Projects Agency-Energy, "U.S. Department of Energy Announces $28 Million to Decarbonize Domestic Iron and Steel Production," April 18, 2024, https://arpa-e.energy.gov/news-and-events/news-and-insights/us-department-energy-announces-28-million-decarbonize-domestic-iron-and-steel-production.

[45] Timothy Gardner, "Coal Used to Make Steel Gets Break in Trump's Tax Bill," Reuters, June 30, 2025, https://www.reuters.com/sustainability/coal-used-make-steel-gets-break-trumps-tax-bill-2025-06-30/.

[46] George Jared, "New Steel Mill Slated for Big River Steel Works Campus," *Talk Business & Politics*, November 12, 2025, https://talkbusiness.net/2025/11/new-steel-mill-slated-for-big-river-steel-works-campus/; and Yusuke Maekawa and Tsuyoshi Inajima, "Nippon Steel to Shortlist Two or Three States for New US Plant," *Bloomberg*, December 1, 2025, https://www.bloomberg.com/news/articles/2025-12-01/nippon-steel-to-shortlist-two-or-three-states-for-new-us-plant.

[47] Emma Simmons and Allison Bruhl, "Hyundai to Build $5.8 Billion First North American Steel Plant in Louisiana, Creating 5,400 Jobs," *KTLA*, March 25, 2025, https://ktla.com/automotive/hyundai-to-build-5-8-billion-first-north-american-steel-plant-in-louisiana-creating-5400-jobs/; and Alexander C. Kaufman, "Hyundai to Make 'Low-Carbon' Steel at $6B Plant in Louisiana," *Canary Media*, March 25, 2025, https://www.canarymedia.com/articles/green-steel/hyundai-low-carbon-steel-louisiana.

[48] Bob Tita and Andrew Mollica (graphics), "The Boom in New Steel Mills Is Outpacing Demand," *The Wall Street Journal*, August 26, 2025, https://www.wsj.com/finance/commodities-futures/steel-industry-factory-growth-demand-184410d1?msockid=0796b52857c360103978a34d56576151.

domestic construction materials for public buildings or public works.[49] In addition, a set of statutes and regulations—collectively called "Buy America Law" in legislation—directs some publicly funded construction projects to acquire iron and steel from domestic producers.[50] Buy America Law includes provisions that require state and local governments to use U.S.-made iron and steel when using certain federal funds to support certain types of projects (e.g., surface transportation or water infrastructure projects).[51] The Association for Iron and Steel Technology estimated that every $20 billion in infrastructure spending leads to an increase in steel demand of 1 million metric tons.[52]

Public procurement of steel for construction generally covers steel segments that mini mills serve.[53] In the current market environment, laws requiring public construction projects to use domestically manufactured steel may more directly benefit scrap-based steelmakers over operators of integrated iron and steel mills. Greater public procurement of products that use high-quality grades of steel or steel with more complex chemistries may bolster demand for primary steel. These products may include offshore structural and aerospace applications.[54] Such policies (i.e., those channeling public procurement resources to primary steel producers) may increase government expenditures and introduce market distortions.

Private Sector Demand

The automotive industry accounted for approximately 15% of net steel domestic shipments in 2024, compared with 28% by the construction industry and 23% by steel service centers.[55] Unlike steel for construction and metal fabrication, which may come from mini mills, the automotive industry relies on integrated iron and steel mills for key components,[56] which reflects automakers' needs for high-quality steel.[57]

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[49] 41 U.S.C. §§8301-8305; and CRS Report R46748, *The Buy American Act and Other Federal Procurement Domestic Content Restrictions*, by David H. Carpenter and Brandon J. Murrill.

[50] The term *Buy America Law* is defined in §70916 of P.L. 117-58 and includes statutory authorities codified at 23 U.S.C. §313, 49 U.S.C. §5323(j), 49 U.S.C. §22905(a), 49 U.S.C. §50101, and others.

[51] U.S. Department of Transportation, "Buy America Provisions - Side-by-Side Comparison," https://www.transportation.gov/buy-america-provisions-side-side-comparison.

[52] Ron Ashburn, "North American Steel Update," presented at the 2024 AIST Leadership Conference, San Antonio, TX, November 19, 2024, https://www.aist.org/getmedia/b22b6f7d-3329-405c-9ce6-bfed1af39e6a/2024_NA_Steel_Update__RA-Public.pdf.

[53] American Institute of Steel Construction, *More than Recycled Content: The Sustainable Characteristics of Structural Steel*, May 2017, https://www.aisc.org/media/c00penl2/more-than-recycled-content.pdf.

[54] David Quidort et al. "Offshore 690 MPa Heavy-Gauge Steel Plates Required in Modern Wind Turbine Installation Vessels," paper presented at the 3rd International Symposium on the Recent Developments in Plate Steels, Vail, CO, June 2-5, 2024, https://www.aist.org/AIST/aist/AIST/Conferences_Exhibitions/Training_Seminars/Plate%20Proceedings/53.pdf; and Biliyar Bhat, "Chapter 2: Aerospace Materials Characteristics," in *Aerospace Materials and Applications*, eds. Biliyar Bhat et al. (American Institute of Aeronautics and Astronautics, 2018), https://ntrs.nasa.gov/citations/20180001137.

[55] DOI, *Mineral Commodity Summaries 2025*.

[56] Marta Negri and Georg Bieker, *Closing the Loop: Improving Automotive Steel Recycling for a Circular Economy*, International Council on Clean Transportation, ICCT policy brief, March 2025, https://theicct.org/wp-content/uploads/2025/03/ID-305-%E2%80%93-Recycled-steel_brief_final.pdf.

[57] Hu and Feng, *Advanced High-Strength Steel*; and Worthington Steel, "The Differences Between Integrated Steel Mill vs. Mini Mill," (blog), accessed January 6, 2026, https://www.worthingtonsteel.com/flatrolledsteel/steel-expertise/blog/materials-support/integrated-vs.-mini-mills.

The share of USS steel shipments from domestic facilities to the automotive and transportation sector grew from 23% to 32% by weight between 2022 and 2024.[58] In absolute terms, the company's shipments to the sector grew by around 29% as total shipments to all customers fell by around 5%. The growth in demand from the automotive and transportation sector was more pronounced for the company's domestic integrated iron and steel mills than for its mini mills. For USS's domestic integrated mills, shipments to the sector increased from 31% of total shipment by weight to 43% between 2022 and 2024. Given steel purchases by the automotive market, policies that promote the production of automotive vehicles may increase sales for primary steelmakers.

Other major markets for USS integrated iron and steel mills in 2024 included facilities engaged in converting the raw steel into special alloys (21.8%) and steel service centers that process the steel into a form and quantity needed by end users (13.2%).

Trade Measures

Congress may exercise oversight of trade measures to shape steel demand and affect industries that rely on steel inputs. In February 2025, a presidential proclamation reestablished U.S. tariffs on steel imports on national security grounds, with the explicit goal of ensuring that at least 80% of domestic steel production capacity would be utilized.[59] Additional tariffs on some products derived from steel went into effect in August 2025 and may increase demand for domestically produced steel.[60]

Examinations of past U.S. tariffs suggest trade policies have varied effects on the steel and steel-using industries. Some studies of the U.S. tariffs on steel imposed in 2002 during the George W. Bush Administration have suggested that the trade measure negatively affected the competitiveness and employment of domestic manufacturers that use steel.[61] By contrast, one study suggested that tariffs and anti-dumping duties on imported steel tended to not increase costs for steel users as long as import quantities were not restricted through a quota.[62] Another study suggested that foreign suppliers of steel lowered their prices in response to U.S. tariffs on steel imports in 2018, which limited the impact of the policy on domestic production and employment in the sector.[63]

Congress may choose to monitor the effects of current tariff measures on the domestic steel industry and the broader economy and assess any potential need for further action.

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[58] Calculated by CRS by excluding output from USS European operations from both the totals and shipments to transportation and automotive markets. The figures can be found at SEC, *United States Steel Corporation Form 10-K for the fiscal year ended December 31, 2024*, p. 6.

[59] Proclamation 10896 of February 10, 2025, "Adjusting Imports of Steel Into the United States," 90 *Federal Register* 9817, February 18, 2025.

[60] U.S. Department of Commerce, Bureau of Industry and Security, "Adoption and Procedures of the Section 232 Steel and Aluminum Tariff Inclusions Process," 90 *Federal Register* 40326, August 19, 2025, https://www.federalregister.gov/documents/2025/08/19/2025-15819/adoption-and-procedures-of-the-section-232-steel-and-aluminum-tariff-inclusions-process.

[61] James Lake and Ding Liu, "Local Labor Market Effects of the 2002 Bush Steel Tariffs," *American Economic Journal*, vol. 17, no. 4 (November 2025), https://www.aeaweb.org/articles?id=10.1257/pol.20220472; and Lydia Cox, *The Long-Term Impact of Steel Tariffs on U.S. Manufacturing*, February 2025, https://coxlydia.com/papers/cox_steel_tariffs.pdf.

[62] Bruce A. Blonigen et al., *Trade Policy and Market Power: The Case of the US Steel Industry*, National Bureau of Economic Research (NBER), December 2007, https://www.nber.org/system/files/working_papers/w13671/w13671.pdf.

[63] Mary Amiti et al., "Who's Paying for the US Tariffs? A Longer-Term Perspective," NBER, January 2020, https://www.nber.org/system/files/working_papers/w26610/w26610.pdf.

Innovation Adoption

Nippon Steel stated that it made a commitment to the U.S. government to maintain production at existing USS locations.[64] Invoking this commitment and the national security agreement terms, the White House intervened in September 2025 to stop the company from closing the USS plant in Granite City, IL.[65] In December 2025, the company made a decision to restart the previously idled blast furnace at the Granite City facility.[66] This investment, which had not been publicly considered by Nippon Steel at the time of the acquisition, and other investments to maintain existing assets at other USS locations require capital. Maintenance of existing assets may affect the company's ability to consider new assets that utilize innovative technologies.

Research in iron and steelmaking has introduced many breakthroughs in recent years. In particular, the production of direct reduced iron (DRI) using methane gas or hydrogen has gained traction globally. The process substitutes blast furnace-based ironmaking at traditional integrated iron and steel mills and can reduce the cost of raw steel production, according to some analysts.[67] Other emerging technologies include electrowinning and molten oxide electrolysis that can produce iron without traditional feedstocks such as metallurgical coke, methane gas, or hydrogen.[68] On the one hand, legacy integrated iron and steel mills may bolster their competitiveness by adopting new technologies. On the other hand, steel mill operators might not invest in innovative technologies if they impose high near-term costs or if operators want to use existing assets, among other factors.

Some incumbent steelmakers and new entrants into the industry have demonstrated an interest in adopting new technologies to increase productivity and reduce externalities, such as pollution. For example, Cleveland-Cliffs established a demonstration DRI furnace in Toledo, OH, to study the technology. In addition, Hyundai Steel Company and Nippon Steel announced plans to build facilities that employ DRI furnace technology in Louisiana and Arkansas (at the site of the existing USS mini mill), respectively.[69]

Companies adopting such new technologies may assume short-term losses in profitability as the acquisition of new equipment and know-how imposes costs.[70] Some innovations that may offer longer-term returns and support competitiveness may be in early stages of technological readiness

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[64] Nippon Steel, "Nippon Steel Corporation and U.S. Steel Finalize Historic Partnership."

[65] Marc Levy, "The White House Says It Blocked US Steel's Decision to Stop Processing Steel at Illinois Plant," AP News, September 22, 2025, https://apnews.com/article/us-steel-trump-nippon-steel-granite-city-7d9acc7f1a1b08b971b374c40574beec.

[66] Will Bauer, "U.S. Steel to Restart Second Blast Furnace at Granite City Works," *St. Louis Public Radio*, December 4, 2025, https://www.stlpr.org/economy-business/2025-12-04/u-s-steel-restart-second-blast-furnace-granite-city-works.

[67] Daseul Kim and Esther Haerim Heo, *Green Steel Economics: Comparing Economics of Green H2-DRI and Traditional Steelmaking Around the World*, Solutions for Our Climate, July 2024, https://forourclimate.org/research/520.

[68] Business Wire, "Electra Launches Pilot Plant to Advance Commercialization of Sustainable Clean Iron Production," March 27, 2024, https://www.businesswire.com/news/home/20240327121089/en/Electra-Launches-Pilot-Plant-to-Advance-Commercialization-of-Sustainable-Clean-Iron-Production; and GlobeNewswire, "Boston Metal Commissions Industrial-Scale Cell in Crucial Green Steel Milestone," March 12, 2025, https://www.globenewswire.com/news-release/2025/03/12/3041404/0/en/Boston-Metal-Commissions-Industrial-Scale-Cell-in-Crucial-Green-Steel-Milestone.html.

[69] Kaufman, "Hyundai to Make 'Low-Carbon' Steel at $6B Plant in Louisiana"; and George Jared, "New Steel Mill Slated for Big River Steel Works Campus," *Talk Business & Politics*, November 12, 2025, https://talkbusiness.net/2025/11/new-steel-mill-slated-for-big-river-steel-works-campus/.

[70] Filipe Silva and Anthony de Carvalho, *Research and Development, Innovation and Productivity Growth in the Steel Sector*, Organisation for Economic Co-operation and Development, March 29, 2016, https://one.oecd.org/document/DSTI/SU/SC(2015)5/FINAL/En/pdf.

and may depend on companies committing upfront capital to fund further development. Scarcities in other inputs needed for new iron and steelmaking processes, such as electricity, may stymie companies' willingness to invest in some new technologies.[71]

Capital committed to traditional assets, such as coke batteries and blast furnaces, may limit the ability of legacy producers to adopt new technologies. For example, the projected cost of the planned blast furnace renovation at the USS-owned integrated iron and steel mill in Gary, IN, is $300 million; the renovation would aim to extend this asset's lifespan by approximately 15-20 years.[72] During the extended lifespan of the blast furnace, the adoption of a new technology that replaces this capital asset would carry higher opportunity costs if USS were to forgo expected returns on investment. The blast furnace renovation also may involve USS investing in coke batteries at the company's Pennsylvania operation, which produces input materials (metallurgical coke) for the blast furnaces. This additional demand for capital may compete with the company's desire to invest in new pathways for iron and steelmaking.

Congress may encourage the industry's adoption of new innovations in iron and steel production by supporting the deployment of infrastructure for the adoption of new processes (electricity) or offering resources for the production of inputs such as hydrogen.[73] In addition, grants promoting research and development of new iron and steelmaking technologies may lower private firms' costs for adopting such innovations.[74] These measures may also carry costs that increase public spending.

Tax Credits and Oversight

Nippon Steel's plans to maintain operations of coke ovens and blast furnaces at USS integrated iron and steel mills benefit from government subsidies. In July 2025, Congress extended production tax credits to metallurgical coal—a raw material used in the ironmaking process at legacy integrated iron and steel mills. Such tax credits may help lower production costs at these sites.[75] Increasing the competitiveness of assets that process and use metallurgical coal at integrated iron and steel mills, such as coke ovens and blast furnaces, may encourage further capital investments in these assets and discourage Nippon Steel from adopting alternative processes for making iron at legacy USS facilities.

Congress may consider offering tax credits for products that use primary steel, such as automotive vehicles, with a domestic content requirement for the steel in the product. In P.L. 117-169, Congress offered tax credits to individuals who purchase qualifying vehicles that met the domestic content requirement for critical minerals and battery components used in the vehicle.[76] To encourage private sector acquisition of domestically produced steel, similar considerations

[71] Vardah Gill, "Cleveland-Cliffs Cancels $500M Hydrogen Steel Plant Project in Ohio," Insider Monkey, June 5, 2025, https://finance.yahoo.com/news/cleveland-cliffs-cancels-500m-hydrogen-220324084.html.

[72] Nippon Steel, "Nippon Steel Announces Transformative Investments at U.S. Steel's Mon Valley Works and Gary Works"; Rebecca Thiele, "Steelmaker Nippon to Reline Gary Works Blast Furnace, Residents Worry About Decades of Pollution," *WFYI*, August 28, 2025, https://www.wfyi.org/news/articles/steelmaker-nippon-to-reline-gary-works-blast-furnace-residents-worry-about-decades-of-pollution.

[73] Steel Modernization Act of 2024 (H.R. 9334, 118th Congress).

[74] For examples of public funding of research on innovative iron and steelmaking technologies, see U.S. Department of Energy, "Funding Selections: Industrial Efficiency and Decarbonization FOA," accessed January 6, 2026, https://www.energy.gov/eere/ito/funding-selections-industrial-efficiency-and-decarbonization-foa.

[75] P.L. 119-21.

[76] 26 U.S.C. §30D.

may be taken for products using primary steel. Such measures may carry implications for the budget.

As discussed, according to Nippon Steel, the national security agreement with the U.S. government gives the President of the United States or a presidential designee consent rights with respect to certain major decisions such as the transfer of jobs outside of the United States or the closure of certain existing U.S. manufacturing facilities currently owned by USS.[77] When the President or the President's designee exercises these consent rights, Congress may have the ability to influence decisions at USS through its oversight of the executive branch.

Author Information

Yong W. Kwon
Analyst in Industrial Organization and Business Policy

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[77] Nippon Steel, "Nippon Steel Corporation and U.S. Steel Finalize Historic Partnership."